

INTERNAL AUDIT REPORT

Vendor Risk Audit | Report No. AR-02322

Report ID:	AR-02322
Audit Type:	Vendor Risk Audit
Report Date:	November 06, 2023
Audit Period:	2023-02-23 to 2023-11-01
Lead Auditor:	Andrew Ward (EMP-45690)
Reviewed By:	Tanya Greer (EMP-40551)
Primary Vendor Reference:	PrimeAxis Corp Group (VND-04951)
Subject Employee Reference:	Elizabeth Moore (EMP-9192)
Primary Transaction Reference:	TXN-C1850306068
Overall Risk Rating:	LOW

1. EXECUTIVE SUMMARY

This vendor risk audit covered the period 2023-02-23 to 2023-11-01 and focused on transactions and approvals associated with vendor PrimeAxis Corp Group (VND-04951). No material control deficiencies were identified. Minor observations are noted in Section 3 for continuous improvement purposes. Overall control environment is assessed as **LOW** risk.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C1850306068 (amount 28,760.22 SGD) was selected as a key test item.

3. FINDINGS

No significant findings were identified during this audit cycle. The following observations are noted for informational purposes:

Finding ID	Severity	Category	Description
FND-004906	LOW	APPROVAL LIMIT	Escalation protocol was bypassed. Transaction valued at \$378,094 was approved at L2 without L5 countersignature.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000104	COMPLIANCE RECORD	EVD-RWV-5307	0.75
EVI-000340	HR RECORD	EVD-GWD-2502	0.91
EVI-001313	CONTRACT RECORD	EVD-AMA-3838	0.70
EVI-004094	EXPENSE CLAIM	EVD-TWM-4369	0.68
EVI-004440	HR RECORD	EVD-EWV-5207	0.69
EVI-006199	EXPENSE CLAIM	EVD-JYX-3584	0.70

5. RECOMMENDATIONS

- Restrict post-termination system access to prevent ghost Approver scenarios.
- Introduce automated system validation to block approvals exceeding the Approver's authorised limit.
- Review and update vendor risk ratings following adverse compliance findings.

6. MANAGEMENT RESPONSE

Management agrees with the findings and has committed to implementing the recommended controls within 90 days.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Andrew Ward	EMP-45690	2023-11-06
Reviewing Officer	Tanya Greer	EMP-40551	2023-11-08